

Wealth Strategy Snapshot

Educational Analysis

Prepared for Blake Reeves & Elisa Hetmanskij | January 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts tailored to your financial profile. Based on the information provided, this snapshot models potential first-year value ranging from **\$56,818 (conservative)** to **\$189,819 - \$212,319 (aggressive)** through a combination of tax optimization, investment scenarios, cash flow improvements, and wealth positioning strategies. These projections are illustrative estimates designed to help frame discussions with your professional team.

Your profile presents several notable opportunities: a high-income W-2 position combined with newly formed business entities, existing 501(c)(3) organizations that may coordinate with your wealth-building goals, and strong interest in real estate expansion. The strategies to explore include retirement account optimization, Augusta Rule rental income, entity structuring analysis, and potential short-term rental acquisition with cost segregation. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Profile Summary

HOUSEHOLD INCOME \$300,000 - \$399,000	PRIMARY INCOME TYPE W-2 (\$300K+) + Self-Employment (<\$25K)
LOCATION Hoboken, New Jersey	AGES 35 & 40
FILING STATUS Single (verify with CPA)	ESTIMATED MARGINAL RATE ~38-39% (Federal 32% + NJ 6.37%)
ENTITY STRUCTURE 3 LLCs (WY Holding, NJ Business, MA Rental)	NONPROFIT ENTITIES 501(c)(3) Charity + 501(c)(3) Foundation
LIQUID CAPITAL AVAILABLE \$10,000 - \$24,000	COMFORTABLE DEPLOYING \$10,000 - \$25,000
RETIREMENT ACCOUNTS \$250,000 - \$499,000	EMERGENCY FUND 4-6 Months
HOME EQUITY \$100,000+ (Hoboken)	MONTHLY MORTGAGE (PITI) \$1,800
INVESTMENT PROPERTY 1 Long-Term Rental (MA)	TIME AVAILABLE WEEKLY 10-15 Hours
INVESTMENT APPROACH Moderately Aggressive (Growth-Focused)	BITCOIN POSITION Small Position (Under 1%)
CREDIT SCORE 760+	NON-MORTGAGE DEBT None

Current Retirement Optimization Status

Account Type	Current Status	2025 Maximum (Verified)	Opportunity
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Employer 401(k)	Contributing, not maxed	\$23,500 employee deferral	Gap to maximum
HSA	Contributing, not maxed	\$8,550 family	Gap to maximum
Backdoor Roth IRA	Aware, not implemented	\$7,000 per person	\$14,000 total (2 people)
Solo 401(k)	Not established	Up to 25% of SE income	New establishment needed

Stated Goals & Priorities

1. Create passive income to replace W-2 salary through rental properties
2. Understand and utilize 501(c)(3) entities in coordination with LLCs to optimize real estate investments and minimize tax burden
3. Identify additional investment strategies (real estate, crypto, or otherwise) to move toward financial freedom
4. Explore leverage strategies (HELOCs, business credit) to invest in additional properties

Special Interests Noted

- Transform a property into a functioning art space aligned with 501(c)(3) mission
- Establish at least one STR in the Northeast (NY/NJ/MA/ME/VT/CT/NH)
- Compare Airbnb vs. RV park/hipcamp/campground models
- Evaluate purchasing a profitable "plug-and-play" small business (laundromat or similar)

Filing Status Clarification Needed: The intake form indicates "Single" filing status, but responses reference a spouse/partner (Elisa) who is available 5-10 hours weekly for business activities. This should be clarified with your CPA, as filing status significantly impacts tax optimization strategies, contribution limits, and potential joint planning opportunities.

Timeline Awareness & Implementation Considerations

The following timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional before taking any action.

Week 1: Foundation Review

- **501(c)(3) Coordination Discussion:** Schedule meeting with CPA and attorney to understand how charity/foundation can legally work alongside LLC rental strategy. Discuss private benefit rules and self-dealing restrictions.
- **Solo 401(k) Establishment Timing:** For 2025 tax year employee contributions, plan typically must be established by December 31, 2025. Discuss with CPA whether this is still viable or if planning should focus on 2026.
- **Current Contribution Review:** Gather statements showing current 401(k) and HSA contribution levels to identify gap to maximum.

Week 2: Documentation & Analysis

- **Augusta Rule Documentation:** Discuss with CPA what records would be needed if renting home to business for meetings (fair market rent analysis, meeting minutes, rental agreement).
- **S-Corp Election Analysis:** With self-employment income under \$25K, evaluate whether S-Corp election makes sense or if administrative costs outweigh FICA savings.
- **Home Office Measurement:** Document dedicated workspace square footage for potential deduction. Understand exclusive use requirement.

Week 3: Investment & Strategy Planning

- **Backdoor Roth IRA Mechanics:** Discuss with financial advisor the timing and pro-rata rule considerations, especially if either person has existing traditional IRA balances.
- **Real Estate Market Research:** Begin identifying target markets in Northeast for STR/LTR expansion. Discuss with CPA how cost segregation would work with future acquisition.
- **W-4 Adjustment Calculation:** If currently over-withholding, work with CPA to calculate appropriate adjustment to increase monthly take-home pay.

Week 4: Professional Consultations

- **Investment Allocation Discussion:** Review illustrative Bitcoin/STRC/index fund scenario with licensed financial advisor to determine if approach aligns with overall goals and risk tolerance.

- **Art Space Property Strategy:** Explore with attorney how foundation mission could align with real estate goals while maintaining compliance with nonprofit regulations.
- **Leverage Strategy Discussion:** Discuss HELOC and business credit options for future property acquisitions with appropriate professionals.

Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes. Each strategy has specific eligibility requirements and implementation considerations that must be verified with your CPA before proceeding. Values shown are illustrative estimates based on your stated profile.

Strategy Concept: Solo 401(k) Contributions

Potential Value: \$2,400 - \$6,250

What It Is: A retirement plan for self-employed individuals allowing employer contributions of up to 25% of net self-employment income. At a 39% marginal rate, contributing \$6,250 to \$16,000 on self-employment income creates potential tax savings of \$2,400 to \$6,250.

How It Works:

1. Plan establishment typically completed before December 31 for current-year contributions
2. Employer contributions (25% of net SE income) can be made until tax filing deadline
3. Custodian selection required (Fidelity, Schwab, Vanguard offer no-fee options)

Eligibility Criteria: Self-employment income, no full-time W-2 employees (spouse exception applies), plan established before applicable deadline.

Verify contribution limits and eligibility with your CPA. 2025 limits shown; confirm current limits apply to your situation.

Strategy Concept: HSA Maximization

Potential Value: \$1,700 - \$3,340

What It Is: Health Savings Account contributions that are tax-deductible, grow tax-free, and can be withdrawn tax-free for qualified medical expenses. At a 39% marginal rate, maximizing HSA contributions (\$8,550 family limit for 2025) creates potential tax savings of approximately \$3,335.

How It Works:

1. Must be enrolled in a High Deductible Health Plan (HDHP)
2. Contributions can be made through payroll or individually until tax filing deadline
3. Funds can be invested and grow tax-free indefinitely

Eligibility Criteria: HDHP enrollment required, cannot be enrolled in Medicare, cannot be claimed as dependent on another's return.

2025 family limit is \$8,550 (verified via IRS). No catch-up available under age 55. Verify HDHP enrollment status with your CPA.

Strategy Concept: Backdoor Roth IRA

Potential Value: Long-term tax-free growth on \$14,000 annually

What It Is: A strategy allowing high-income earners to contribute to Roth IRAs indirectly by making non-deductible traditional IRA contributions and converting them to Roth. With two eligible individuals, this positions \$14,000 annually for tax-free growth.

How It Works:

1. Contribute to traditional IRA (non-deductible due to income level)
2. Convert traditional IRA balance to Roth IRA
3. File Form 8606 to track non-deductible contributions

Eligibility Criteria: Available regardless of income. Pro-rata rule applies if existing traditional IRA balances exist (discuss with advisor).

2025 IRA limit is \$7,000 per person (verified). No catch-up under age 50. Discuss pro-rata rule implications with your tax professional.

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$2,730 - \$3,822 (tax benefit) + \$7,000 - \$9,800 (income received)

What It Is: A provision allowing homeowners to rent their home to their business for up to 14 days annually without reporting the rental income, while the business deducts the rent as an expense. At \$500-\$700/day for 14 days, this creates both tax-free income and a business deduction.

How It Works:

1. Document fair market rental rates for comparable properties in your area
2. Hold legitimate business meetings/events at your home
3. Create rental agreement between business entity and homeowner(s)

Eligibility Criteria: Must own home, must have legitimate business entity, must hold actual business meetings, must document fair market rent.

This strategy has been subject to IRS scrutiny. Documentation of fair market rent and legitimate business purpose is critical. Verify implementation with your CPA.

Strategy Concept: Home Office Deduction

Potential Value: \$585 - \$1,560

What It Is: A deduction for the business use portion of your home if you have a dedicated space used exclusively and regularly for business. The simplified method allows \$5 per square foot up to 300 sq ft (\$1,500 max).

How It Works:

1. Measure dedicated workspace used exclusively for business
2. Choose simplified (\$5/sq ft) or actual expense method
3. Claim deduction on Schedule C or through business entity

Eligibility Criteria: Space must be used exclusively and regularly for business. "Dedicated room used exclusively for business" indicated in intake.

Exclusive use requirement is strictly enforced. Document workspace measurements and business use. Verify method selection with your CPA.

Strategy Concept: S-Corporation Election Analysis

Potential Value: \$0 - \$3,000 (requires analysis)

What It Is: An S-Corp election allows business owners to split income between salary (subject to FICA/self-employment tax) and distributions (not subject to employment taxes), potentially reducing overall tax burden.

How It Works:

1. File Form 2553 to elect S-Corp status (deadline considerations apply)
2. Pay yourself "reasonable compensation" as W-2 wages
3. Take remaining profits as distributions (no FICA)

Eligibility Criteria: Generally most beneficial when self-employment income exceeds \$50,000-\$60,000 annually. With current SE income under \$25K, administrative costs may outweigh benefits.

S-Corp election adds payroll requirements and filing complexity. With SE income under \$25K, discuss with CPA whether benefits exceed costs. May become more valuable as business income grows.

Strategy Concept: 501(c)(3) Coordination Strategy

Potential Value: \$2,000 - \$15,000+ (highly variable)

What It Is: Strategic coordination between your existing 501(c)(3) charity, 501(c)(3) foundation, and LLC entities to optimize tax benefits while maintaining compliance. This may include charitable deductions, qualified charitable distributions, and potentially program-related investments.

How It Works:

1. Charitable contributions to 501(c)(3) generate deductions at fair market value for appreciated assets
2. Foundation can potentially make program-related investments aligned with mission
3. Art space/artist residency goals may align with foundation's charitable purpose

Eligibility Criteria: Must have established 501(c)(3) entities. Transactions must avoid self-dealing and private benefit. Foundation rules differ from public charity rules.

501(c)(3) coordination is complex and requires specialized legal and tax counsel. Self-dealing rules are strict, especially for private foundations. Get professional guidance before any transactions between entities.

Strategy Concept: Short-Term Rental + Cost Segregation (Future)

Potential Value: \$40,000 - \$64,000 (when property acquired)

What It Is: The combination of short-term rental "material participation" exception and cost segregation study allows real estate losses to offset W-2 income. For a \$350K-\$400K property, cost segregation typically accelerates 35-50% of property value into Year 1 depreciation.

How It Works:

1. Acquire property used as short-term rental (average stay under 7 days)
2. Meet material participation requirements (100+ hours, more than anyone else)
3. Commission cost segregation study to accelerate depreciation

Eligibility Criteria: Average rental period under 7 days, material participation in rental activity, no Real Estate Professional status required for STR exception.

This strategy applies to FUTURE property acquisition. Current timeline is 6-12 months. Real estate tax strategies have specific documentation and participation requirements. Work with qualified tax professional to ensure compliance.

Primary Strategy Education: 501(c)(3) & Real Estate Coordination

Based on your stated goals and existing entity structure, this section provides educational information on coordinating nonprofit and for-profit entities in a real estate wealth-building strategy.

Understanding Your Entity Structure

Entity	Type	Typical Use	Tax Treatment
WY Holding LLC	For-Profit LLC	Asset protection, holding company	Pass-through (likely)
NJ Business LLC	For-Profit LLC	Operating business activities	Pass-through (likely)
MA Rental LLC	For-Profit LLC	Hold rental property	Pass-through (likely)
501(c)(3) Charity	Public Charity	Charitable programs	Tax-exempt
501(c)(3) Foundation	Private Foundation	Grantmaking, charitable purposes	Tax-exempt (strict rules)

Coordination Concepts to Explore with Your Attorney

Concept 1: Charitable Contributions of Appreciated Assets

When contributing appreciated assets (stocks, cryptocurrency, real estate) to a 501(c)(3), donors may deduct fair market value while avoiding capital gains tax on the appreciation. This can be more tax-efficient than selling assets and donating cash.

Discussion Point for CPA: "If I donate appreciated Bitcoin or other assets to our foundation, what are the documentation requirements and valuation methods required?"

Concept 2: Program-Related Investments (PRIs)

Private foundations can make investments that further their charitable mission even if they also generate a financial return. If your foundation's mission relates to art/creative work, certain real estate investments might qualify as PRIs.

Discussion Point for Attorney: "Could our foundation potentially make a program-related investment in an art space property that aligns with our charitable mission?"

Concept 3: Fair Market Value Transactions

Nonprofits and for-profits can transact with each other, but all transactions must be at fair market value and serve legitimate purposes. For example, if a foundation leases space from an LLC-owned property for charitable programs, the rent must reflect market rates.

Discussion Point for Attorney: "What documentation would be required if our foundation wanted to lease space from one of our LLCs for charitable programming?"

Critical Compliance Considerations

- **Self-Dealing Rules:** Private foundations face strict prohibitions on transactions with "disqualified persons" (founders, substantial contributors, family members, controlled entities). Penalties for violations are severe.
- **Private Benefit:** Both public charities and private foundations must avoid providing excessive private benefit to individuals. Any benefit flowing to you from the nonprofit's activities must be incidental to the charitable purpose.
- **Excise Taxes:** Private foundations face excise taxes on investment income and may face additional taxes if they fail to distribute sufficient funds annually or engage in prohibited transactions.

This area requires specialized legal counsel. Do not proceed with any entity coordination strategy without professional guidance.

Real Estate Acquisition Education

You expressed strong interest in real estate expansion, including STR in the Northeast, potential art space properties, and evaluating RV parks or laundromats. Here are educational concepts for each path:

Strategy	Capital Required	Time Required	Tax Benefits	Considerations
STR Acquisition	\$70K-\$100K down	10-15 hrs/week	Cost seg, STR loophole	Regulations vary by location
House Hacking	3.5%-20% down	5-10 hrs/week	Owner-occupied rates	Must live in property
BRRRR	\$50K-\$100K+	15-20+ hrs/week	Refinance, depreciation	Active management needed
RV Park/Campground	\$200K-\$500K+	20+ hrs/week or manager	Depreciation, land	Specialized knowledge needed
Small Business (Laundromat)	\$100K-\$300K	5-15 hrs/week	Depreciation, SBA loans	Due diligence critical

Real estate and business acquisition decisions should be made with appropriate due diligence and professional guidance. Market conditions, local regulations, and individual circumstances significantly impact outcomes.

Illustrative Portfolio Scenario

The following scenario models one approach to deploying investment capital based on the moderately aggressive, growth-focused profile with passive income goals indicated in your intake responses. This is not a recommendation to buy, sell, or hold any specific investment.

Profile-Based Allocation Rationale

- **Investment Approach (Q41):** "Moderately aggressive" suggests 50-70% Bitcoin allocation range
- **Goals (Q46):** "Passive income to replace W-2" suggests meaningful STRC allocation for yield
- **Time Available (Q44):** 10-15 hrs/week allows for some active strategy involvement
- **Current Position:** Small Bitcoin position (under 1%) indicates room for increased exposure if desired

Illustrative Allocation Scenario

Asset Class	Scenario %	Conservative Amount	Aggressive Amount	Educational Rationale
Bitcoin	55%	\$9,625	\$11,000	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21 million supply cap and increasing institutional adoption trajectory
STRC	30%	\$5,250	\$6,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10-12% annual yield
VTI/VOO	15%	\$2,625	\$3,000	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio); VOO tracks the S&P 500 for large-cap exposure
Total	100%	\$17,500	\$20,000	

Capital Deployment Basis:

- **Conservative:** \$17,500 (midpoint of Q45: "\$10-25K comfortable deploying")
- **Aggressive:** \$20,000 (upper range deployment for modeling purposes)

This scenario models one approach based on the moderately aggressive profile and passive income goals indicated. The higher STRC allocation (30%) reflects your stated goal of creating passive income, while the 55% Bitcoin allocation aligns with growth-focused wealth building. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Investment Product Education

Product	What It Is	Typical Yield/Return	Risk Considerations
Bitcoin (BTC)	Decentralized digital asset with fixed 21M supply	Highly variable; historical avg ~50%+ annually but with significant volatility	High volatility, regulatory uncertainty, no yield
STRC	Bitcoin-correlated income product	10-12% annual yield	Correlated to Bitcoin price, counterparty considerations
VTI	Vanguard Total Stock Market ETF	~10% historical avg; 1.3% dividend yield	Market risk, lower than Bitcoin volatility
VOO	Vanguard S&P 500 ETF	~10% historical avg; 1.3% dividend yield	Concentrated in large-cap U.S. equities

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Past performance does not guarantee future results. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Modeled First-Year Value Summary

This comprehensive summary models potential first-year value across all applicable categories. Conservative scenario reflects foundational strategies with current capital. Aggressive scenario includes full plan implementation with real estate acquisition.

Scenario Definitions:

- Conservative:** Foundational strategies only (retirement optimization, Augusta Rule, home office, basic deductions). No real estate acquisition. Capital deployment: \$17,500.
- Aggressive:** Full plan including STR property acquisition with cost segregation, maximum contributions, 501(c)(3) coordination. Capital deployment: \$20,000 (investment) + \$75,000 (RE down payment).

Category	Item	Conservative	Aggressive	Notes
TAX OPTIMIZATION STRATEGIES				
Tax	Solo 401(k) Tax Benefit	\$2,400	\$2,437	\$6,250 contribution × 39% rate
Tax	HSA Maximization	\$3,335	\$3,335	\$8,550 × 39% rate
Tax	Backdoor Roth IRA	Tax-free growth	Tax-free growth	\$14,000 positioned (no immediate deduction)
Tax	Augusta Rule Deduction	\$2,730	\$3,822	14 days × \$500-700 × 39% rate
Tax	Home Office Deduction	\$585	\$585	300 sq ft × \$5 × 39% rate
Tax	S-Corp Election Savings	\$0	\$3,000	FICA savings on SE income (if elected)
Tax	501(c)(3) Coordination	\$2,000	\$5,000	Charitable deductions (variable)
Tax	STR + Cost Segregation	\$0	\$40,000 – \$64,000	35-50% of \$375K × 39% (if RE acquired)
Tax Optimization Subtotal		\$11,050	\$58,179 – \$82,179	
INVESTMENT INCOME (Yield/Dividends)				

Income	STRC Yield	\$525	\$720	$\$5,250 \times 10\% / \$6,000 \times 12\%$
Income	VTI/VOO Dividends	\$39	\$60	$\$2,625 \times 1.5\% / \$3,000 \times 2\%$
Investment Income Subtotal		\$564	\$780	
INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin Appreciation	\$2,406	\$5,500	$\$9,625 \times 25\% / \$11,000 \times 50\%$
Growth	STRC Appreciation	\$788	\$1,800	$\$5,250 \times 15\% / \$6,000 \times 30\%$
Growth	VTI/VOO Appreciation	\$210	\$360	$\$2,625 \times 8\% / \$3,000 \times 12\%$
Appreciation Subtotal		\$3,404	\$7,660	
REAL ESTATE (Aggressive Only - Q42=Yes, Q43 has selections)				
RE	STR Annual Cash Flow (NOI)	\$0	\$25,000 – \$35,000	Net operating income after expenses
RE	Property Appreciation (3-6%)	\$0	\$11,250 – \$22,500	On \$375,000 property value
RE	Mortgage Principal Paydown	\$0	\$4,500	Year 1 equity build
Real Estate Subtotal		\$0	\$40,750 – \$62,000	Conservative = no RE acquisition
CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$6,000	\$9,600	$\$500\text{-}800/\text{mo} \times 12$ (reduced withholding)
Cash Flow	Debt Interest Savings	\$0	\$0	No non-mortgage debt indicated
Cash Flow Subtotal		\$6,000	\$9,600	
WEALTH BUILDING (Dollars Positioned)				

Wealth	Solo 401(k) Contributions	\$6,250	\$6,250	25% of ~\$25K SE income
Wealth	HSA Contributions	\$8,550	\$8,550	2025 family maximum
Wealth	Backdoor Roth IRA	\$14,000	\$14,000	\$7,000 × 2 people
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free rental income
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on \$375K property
Wealth Building Subtotal		\$35,800	\$113,600	
TOTAL FIRST-YEAR MODELED VALUE		\$56,818	\$189,819 – \$212,319	

Important Notes on Value Summary:

- **No Double-Counting:** Tax savings from contributions (shown in Tax section) are separate from the contributions themselves (shown in Wealth Building section). Both represent value but in different forms.
- **Augusta Rule:** Creates both tax-free income received AND a business deduction. Income shown in Wealth Building; tax benefit shown in Tax Optimization.
- **Real Estate Timeline:** Aggressive scenario assumes property acquisition within 6-12 months as indicated. If acquisition is delayed, RE values shift to future years.
- **Appreciation Projections:** Based on historical averages and are not guaranteed. Actual returns may be higher, lower, or negative.

Projected values are illustrative estimates based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed. Past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates

The following dates are provided for awareness purposes. Verify all deadlines and applicability with your tax professional.

Timeframe	Consideration	Notes
December 31, 2025	Solo 401(k) establishment deadline for 2025 employee contributions	May have passed; discuss 2026 planning with CPA
December 31, 2025	Augusta Rule rental days must occur before year-end for 2025	Document meetings held in home
January 15, 2026	Q4 2025 estimated tax payment due	If applicable for self-employment income
March 15, 2026	S-Corp election deadline for 2026 tax year	Form 2553 if electing S-Corp status
April 15, 2026	2025 Backdoor Roth IRA contribution deadline	Can contribute for prior year until tax deadline
April 15, 2026	Solo 401(k) employer contribution deadline (without extension)	Can extend to October with tax extension
April 15, 2026	HSA contribution deadline for 2025	Can contribute for prior year until tax deadline
Q2-Q3 2026	Potential STR property acquisition window	Based on 6-12 month timeline indicated
October 15, 2026	Extended Solo 401(k) employer contribution deadline	If tax extension filed

Verify all deadlines with your tax professional. Some deadlines may have passed or may differ based on your specific circumstances.

Questions for Your Professional Team

Use this guide to facilitate discussions with your CPA, attorney, and financial advisor about implementing strategies discussed in this snapshot.

Questions for Your CPA

1. "Based on my self-employment income level (under \$25K), does establishing a Solo 401(k) make sense, or should I focus on other strategies?"
2. "What documentation do I need to properly implement the Augusta Rule for renting my home to my business?"
3. "With my SE income level, would S-Corp election save more in FICA taxes than it costs in additional administration and payroll requirements?"
4. "How do I properly execute a Backdoor Roth IRA, and do I have any existing traditional IRA balances that would create pro-rata issues?"
5. "If I acquire an STR property, what are the specific requirements for cost segregation and the STR material participation exception?"
6. "What is the optimal structure for coordinating our 501(c)(3) entities with our LLC holdings from a tax perspective?"
7. "Am I currently over-withholding on my W-4, and if so, how should I adjust it?"

Questions for Your Attorney

1. "What are the self-dealing rules that apply to our private foundation, and how do they affect any potential transactions with our LLCs?"
2. "Could our foundation make program-related investments in an art space property that aligns with its charitable mission?"
3. "What documentation would be required if the foundation wanted to lease space from an LLC-owned property?"
4. "How should we structure ownership of future real estate acquisitions for liability protection and tax efficiency?"
5. "Are there any compliance concerns with the current structure of our three LLCs and two 501(c)(3) entities?"

Questions for Your Financial Advisor

1. "How does a 55% Bitcoin / 30% STRC / 15% VTI allocation align with my stated moderately aggressive risk tolerance and passive income goals?"
2. "What is my current asset allocation across all accounts, and how would the illustrative scenario change it?"
3. "Are there pro-rata rule concerns with my existing retirement accounts that would affect Backdoor Roth implementation?"
4. "How should I think about real estate allocation relative to my overall portfolio?"
5. "What is the most tax-efficient way to increase my Bitcoin exposure given my current holdings?"

Professional Team Coordination

Implementing the strategies discussed in this snapshot requires coordination with qualified professionals. Based on your intake, you are currently working with:

Professional	Current Status	Key Responsibilities for This Plan
CPA / Tax Professional	✓ Have (proactive)	• Verify eligibility for all tax strategies • Calculate optimal contribution amounts • Implement Augusta Rule documentation • Evaluate S-Corp election • Coordinate cost segregation study (future)
Financial Advisor	✓ Have	• Review investment allocation scenario • Execute Backdoor Roth IRA if appropriate • Coordinate retirement account optimization • Evaluate overall risk tolerance alignment
Attorney (Nonprofit/Entity)	May need to add	• 501(c)(3) coordination and compliance • Self-dealing rule analysis • Entity structuring for real estate • Foundation program-related investments
Real Estate Professional	May need to add	• Market analysis for STR locations • Property acquisition assistance • Local regulation research

Coordination Recommendation: Given the complexity of coordinating 501(c)(3) entities with for-profit LLCs, consider scheduling a joint meeting with your CPA and an attorney experienced in nonprofit law before implementing any coordination strategy.

Implementation Milestones

The following milestones provide a framework for tracking progress. These are considerations, not requirements, and should be adjusted based on guidance from your professional team.

Milestone	Target Timeframe	Key Indicators
Foundation Strategies Implemented	Q1 2026	- HSA maximized or on track 401(k) contribution level reviewed - Backdoor Roth executed or planned - W-4 adjusted if appropriate
Business Optimization Review	Q1 2026	- S-Corp election decision made - Augusta Rule documentation prepared - Home office deduction documented - Solo 401(k) established or deferred
501(c)(3) Coordination Assessment	Q2 2026	- Legal counsel engaged - Compliance review completed - Coordination opportunities identified - Art space strategy outlined
Real Estate Acquisition Progress	Q3-Q4 2026	- Target markets identified - Financing pre-approval obtained - Property identified or acquired - Cost segregation study ordered (if acquired)
Annual Review	Q4 2026	- Tax projection updated - Investment performance reviewed - Strategy adjustments identified - Next year planning initiated

Educational Resources

The following resources are provided for educational reference only. Always consult with qualified professionals before implementing any strategy.

IRS Publications

- **Publication 587:** Business Use of Your Home (Home Office Deduction)
- **Publication 463:** Travel, Gift, and Car Expenses
- **Publication 560:** Retirement Plans for Small Business (Solo 401(k), SEP)
- **Publication 590-A:** Contributions to Individual Retirement Arrangements (IRAs)
- **Publication 969:** Health Savings Accounts and Other Tax-Favored Health Plans
- **Publication 946:** How to Depreciate Property
- **Publication 527:** Residential Rental Property
- **Publication 78:** Cumulative List of Charitable Organizations (verify 501(c)(3) status)

Key Tax Code References

- **Section 280A(g):** Augusta Rule (14-day rental exclusion)
- **Section 469:** Passive Activity Loss Rules
- **Section 168(k):** Bonus Depreciation
- **Section 199A:** Qualified Business Income Deduction
- **Section 1031:** Like-Kind Exchanges (future consideration)

These resources are provided for educational reference only. Tax law is complex and changes frequently. Work with qualified professionals for implementation guidance.

Important Disclaimers

Educational Purpose

This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice. The information presented is designed to help frame discussions with your qualified professional team, not to replace their guidance.

Not Investment Advice

Legacy Investing Show and its staff are not registered investment advisers under the Investment Advisers Act of 1940. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented, including references to Bitcoin, STRC, VTI, VOO, and real estate, are illustrative models for educational purposes only. All investment decisions should be made in consultation with a licensed financial advisor who is registered with appropriate regulatory authorities.

Not Tax Advice

Tax strategies discussed in this document are educational explanations of how certain provisions work under current tax law. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation. Tax laws change frequently; information presented reflects understanding as of January 2026 and may not reflect subsequent changes.

No Guarantees

Projected values, potential savings, and scenario outcomes presented in this document are illustrative estimates based on stated assumptions. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results. All investments carry risk of loss, including potential loss of principal. Bitcoin and cryptocurrency are highly volatile assets. Real estate investments carry risks including market fluctuations, vacancy, maintenance costs, and regulatory changes.

Professional Consultation Required

Before implementing any strategy discussed in this document, consult with qualified licensed professionals including:

- A Certified Public Accountant (CPA) or tax attorney for tax-related matters
- A registered investment adviser or licensed financial advisor for investment decisions
- An attorney for legal, entity structuring, and nonprofit compliance matters
- Other specialists as appropriate for your specific situation

Tax Year and Limit Verification

Contribution limits and tax information in this document are based on 2025 tax year data verified via IRS sources as of January 2026. Limits change annually. Always verify current limits with your tax professional before making contributions. Key 2025 limits referenced:

- 401(k) employee deferral: \$23,500 (no catch-up under age 50)
- HSA family: \$8,550 (no catch-up under age 55)
- IRA/Roth IRA: \$7,000 (no catch-up under age 50)

Forward-Looking Statements

This document contains forward-looking statements about potential future outcomes. These statements are based on current expectations and assumptions that may prove incorrect. Actual results may differ materially from projected results due to various factors including but not limited to: changes in tax law, market volatility, economic conditions, personal circumstances, and regulatory changes.